

charge more if the scheme beats its benchmark. It is, however, too early to get into the pros and cons of this move. The impediment to such a model is the basis on which 'out-performance' will be measured. For instance, if an AMC uses a benchmark that is easy to beat as its reference to charge a higher performance fee, it doesn't augur well for investors.

The timing of this move is strange because SEBI has been tightening the expense ratio of mutual fund schemes and, at the same time, discussing increases in charges for schemes that report superior performance. A performance-linked charge is not a new concept, it has been tried in several developed markets and has had mixed outcomes. Even in India, an AMC which shut its operations a few years ago had introduced incentive-linked charges on a fund scheme which wasn't easy for investors to understand.

For incentive-linked charges to work, the base expense ratio of schemes needs to be lowered. For instance, if currently the charges are 2 per cent towards expenses in a fixed charge model, when the performance-linked charge is introduced, the fixed expense has to be reduced significantly for investors to be interested. If the current cap on expenses is maintained while allowing AMCs to have a performance-linked model, it makes little sense for fund houses as well as investors.

INVESTOR ALERT

In its current structured format, mutual fund scheme charges are clearly defined and regulated. Even the investment risk involved when investing in a mutual fund scheme is clearly mentioned, making mutual fund investing very transparent. In a scenario wherein performance-linked incentive is on offer, chances are that fund managers in their eagerness to earn their incentive may land up taking more risks than necessary in a fund scheme which could put the investor's investments at risk.

It will be equally difficult to put a clear date from which investments in the fund would be treated for performance-linked charges. Investors should consider keeping their mutual fund investments simple and easy to comprehend, including the management fee they pay so that the investments achieve their financial goals. ■

LOAN REPAYMENT THROUGH CREDIT CARDS

Borrowing against a life insurance policy is not a good choice. To further discourage policyholders, the IRDAI issued a circular banning repayment of loans against insurance policies through credit cards. The move comes after the pension regulator PFRDA banned credit card contributions towards Tier-2 NPS accounts. The reason for the ban is to discourage already stressed policyholders from extending their borrowings to credit cards. The interest rate on a loan against life policy is often lower than personal loan interest rates, but even so one should avoid taking a loan against their policy. Many smart borrowers consider opting for a credit-free period to service the loan, which is not a financially prudent mechanism, especially when it comes to maintaining insurance cover on one's life. The loan facility against insurance is provided on whole life, endowment and money-back type of policies as such policies have a cash value on the maturity of the policy. The loan amount could be up to 90 per cent of the surrender value of the policy.